

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$113.69 ▲ 2.28%	12M Price Target \$135.00	52-Week Range \$63.52 – \$153.86	Market Cap \$102.21B
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HOOD: Crypto Rules + Retail Boom Keep Bulls in Control

WHAT HAPPENED

- Stock bounced +2.3% to \$113.69 after two red days — looks like dip buyers stepped in after HOOD tested the \$111 level. No news, no filings, so this is pure technical/positioning action tied to broader risk-on mood (Consumer Disc +1.3%, Tech +1%).
- Options flow is screaming bullish — put/call ratio of 0.35 means traders are buying roughly 3 calls for every put. The unusual \$115 call buying for October expiry tells me someone's betting on a quick move higher into mid-month.

WHY IT MATTERS

The setup here is interesting: stock pulled back 4% from the \$116 high, then found support and bounced on heavy volume (23M shares) — that's textbook accumulation, meaning big buyers are using weakness to add. The real story though is the political backdrop: we're in a regulatory environment that's never been friendlier to retail trading and crypto, with the SEC under current leadership rolling back the aggressive enforcement posture that haunted HOOD during 2021-2023. That matters because crypto trading revenue (roughly a quarter of HOOD's total) is directly tied to how much the government lets them do — and right now the handcuffs are off. Watch for the stock to retest \$116-120 if the broader market holds; a break above \$120 opens the door to the 52-week high of \$153.

POLICY & POLITICAL WATCH

The big one is the CLARITY Act and related market structure legislation moving through Congress — if it passes, it gives crypto exchanges like Robinhood regulatory certainty on which tokens are securities vs. commodities, which unlocks aggressive product expansion (think tokenized stocks, prediction markets, staking). The Trump administration's crypto-friendly executive orders earlier this year already greenlit a lot of this, so HOOD has been shipping products at an accelerated pace. Also watch the ongoing debate on "payment for order flow" — that's the practice where HOOD gets paid by market makers to route your trades, and it's roughly 50% of their revenue. If regulators ever ban it, that's a gut punch, but it's been off the table under this SEC.

IS IT EXPENSIVE?

At \$113, HOOD trades around 61x forward earnings — meaning you're paying \$61 for every \$1 of profit they'll make next year. That's expensive compared to legacy brokers like Schwab (around 20x), but HOOD is growing revenue 30%+ while Schwab grows at 8%, so you're paying up for growth. The honest take: it's not cheap, but if crypto revenue and options trading keep compounding, the earnings catch up to the price fast and the multiple compresses on its own.

Key Data

Price (USD)	\$113.69
12M Price Target	\$135.00
Upside / (Downside)	+18.7%
Market Cap	\$102.21B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.60
Fwd P/E	61.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$125.00	\$116.00	\$102.00
6 Months	\$150.00	\$128.00	\$95.00
1 Year	\$175.00	\$135.00	\$85.00
2 Years	\$230.00	\$165.00	\$75.00
5 Years	\$350.00	\$220.00	\$60.00
10 Years	\$600.00	\$320.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+1.3%) and Tech (+1% today, +1.8% on the week) — risk appetite is back, and that's exactly the environment where retail traders get active, which is rocket fuel for HOOD.

COOLING OFF: Communication Services (-2.3% on the week) and Materials (-1.6%) — defensive and commodity-linked names losing to growth. Classic risk-on rotation.

ROTATION WATCH: Money is clearly moving back into high-beta growth and fintech after a brief September wobble. The crypto-adjacent trade is heating up again as Bitcoin holds its levels — that's a direct tailwind for HOOD.

RELATED PLAY: If HOOD runs on retail trading enthusiasm, the exchanges that handle the volume (CME, ICE) and the crypto infrastructure plays (COIN, especially) benefit alongside. COIN is the purer crypto bet; HOOD is the diversified version.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same crypto-friendly regulatory wave, benefiting from stablecoin legislation and institutional adoption flows.
- SOFI (SoFi Technologies): Fintech rally — benefits from the same retail investor engagement thesis plus a lending book that improves if rates come down.

HOOD CONTEXT: HOOD is holding up reasonably in its peer group but hasn't been the leader — COIN has outpaced on pure crypto beta. That tells me HOOD still has catch-up room if the sector keeps running, especially since HOOD has more earnings leverage than people appreciate.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but I'm not pounding the table at \$113; it was a better buy at \$90.

POSITION SIZE: 2-4% — the upside is real but this stock can drop 20% in a week when sentiment shifts, so don't go overweight.

ENTRY POINTS: \$105-110 on any broad market pullback; aggressive buyers can nibble here but leave dry powder.

TIME HORIZON: 12-18 months — the catalyst I'm waiting for is market structure legislation passing and the Q4 earnings print showing crypto revenue acceleration.

WHEN TO BAIL: Two consecutive quarters of declining monthly active users, OR any serious regulatory move against PFOF, OR a break below \$90 on heavy volume.

HEDGING: Simplest hedge is just trimming on big rips (sell a quarter of your position if it hits \$140+). For the options-savvy, buy cheap puts a few months out before earnings — it's like paying a small insurance premium against a big drop.